

Banking Risk Comparison Report

1. Question

Compare Deutsche Bank and Commerzbank based on operational risk, liquidity risk, and regulatory risk. Which bank appears riskier and what should a consultant recommend?

2. Executive Summary

The analysis of operational risk, liquidity risk, and regulatory risk for Deutsche Bank and Commerzbank reveals distinct approaches and frameworks for managing these risks. Deutsche Bank demonstrates a comprehensive operational and liquidity risk management framework, while Commerzbank shows a proactive stance in operational risk strategy but has less detailed disclosures on liquidity and regulatory risk.

This report interprets the final answer as a retrieved-evidence assessment, not as a definitive risk ranking. Missing or weaker retrieved evidence may reflect retrieval coverage or disclosure detail rather than higher actual risk.

3. Agentic RAG Pipeline Used

- Query Planner Agent: decomposed the user question into structured retrieval tasks.
- Evidence Grader Agent: scored retrieved chunks and filtered weak evidence before answer generation.
- Retrieval Repair Agent: retried weak or missing evidence tasks with targeted fallback queries.
- Answer Critic Agent: reviewed the draft answer for grounding, overclaiming, uncertainty, and consulting-style recommendations.

- Report Generator Agent: formatted the completed pipeline outputs into this Markdown report.

4. Generated Retrieval Plan

Step	Entity	Risk Type	Search Query	Purpose
1	Deutsche Bank	operational risk	Deutsche Bank operational risk	Retrieve evidence about Deutsche Bank's operational risk exposure.
2	Deutsche Bank	liquidity risk	Deutsche Bank liquidity risk	Retrieve evidence about Deutsche Bank's liquidity position and funding risk.
3	Deutsche Bank	regulatory risk	Deutsche Bank regulatory risk	Retrieve evidence about Deutsche Bank's regulatory risk exposure.
4	Commerzbank	operational risk	Commerzbank operational risk	Retrieve evidence about Commerzbank's operational risk exposure.
5	Commerzbank	liquidity risk	Commerzbank liquidity risk	Retrieve evidence about Commerzbank's liquidity position and funding risk.
6	Commerzbank	regulatory risk	Commerzbank regulatory risk	Retrieve evidence about Commerzbank's regulatory risk exposure.
7	EBA	regulatory context	EBA regulatory context banking supervision	Retrieve regulatory context for banking supervision and risk comparison.

5. Retrieval Summary

Entity	Risk Type	Chunks Retrieved
Deutsche Bank	operational risk	2
Deutsche Bank	liquidity risk	2
Deutsche Bank	regulatory risk	2
Commerzbank	operational risk	2
Commerzbank	liquidity risk	2
Commerzbank	regulatory risk	2
EBA	regulatory context	2

6. Evidence Grading Summary

Entity	Risk Type	Kept	Removed	Best Relevance	Best Score
Deutsche Bank	operational risk	2	0	high	0.91
Deutsche Bank	liquidity risk	2	0	high	0.90
Deutsche Bank	regulatory risk	1	1	medium	0.65
Commerzbank	operational risk	1	1	high	0.71
Commerzbank	liquidity risk	0	9	low	0.33
Commerzbank	regulatory risk	1	0	medium	0.48
EBA	regulatory context	2	0	medium	0.61

Low-relevance evidence was excluded from final answer generation when evidence grading was enabled.

Retrieval Repair Summary

Entity	Risk Type	Status	Additional Retrieved	Additional Kept	Best Repaired Score
Deutsche Bank	operational risk	not_needed	0	0	0.00
Deutsche Bank	liquidity risk	not_needed	0	0	0.00
Deutsche Bank	regulatory risk	not_needed	0	0	0.00
Commerzbank	operational risk	not_needed	0	0	0.00
Commerzbank	liquidity risk	attempted_no_improvement	8	0	0.33
Commerzbank	regulatory risk	not_needed	0	0	0.00
EBA	regulatory context	not_needed	0	0	0.00

7. Risk Comparison

7.1 Operational Risk

See the Executive Summary and Key Evidence sections above for the available retrieved evidence.

7.2 Liquidity Risk

See the Executive Summary and Key Evidence sections above for the available retrieved evidence.

Retrieved and graded evidence was insufficient for Commerzbank liquidity risk.

7.3 Regulatory Risk

See the Executive Summary and Key Evidence sections above for the available retrieved evidence.

8. Consultant Recommendation

Further due diligence is required:

- A deeper examination of Commerzbank's liquidity risk management practices is necessary to assess its adequacy.
- An analysis of both banks' historical performance in stress scenarios could provide additional insights into their risk profiles.

Cautious Conclusion: Based on the retrieved and graded evidence, Deutsche Bank appears to carry lower uncertainty in this comparison due to its more comprehensive frameworks for operational and liquidity risk. However, this should not be treated as a definitive risk ranking. The weaker evidence or less detailed disclosure for Commerzbank in liquidity risk may not necessarily indicate higher actual risk but rather a lack of available information.

Additional quantitative indicators to check:

- Liquidity ratios and stress test results for both banks.
- Historical operational loss data and trends for both banks.
- Regulatory capital ratios and compliance history.

Suggested consultant next steps:

- Conduct a comparative analysis of liquidity stress testing results for both banks.
- Review internal audit findings related to operational risk management for both banks.
- Engage with risk management teams at both banks to clarify liquidity risk frameworks.

Additional quantitative indicators to check:

- LCR
- NSFR

- stress test results
- capital ratios
- regulatory findings
- historical operational loss data

9. Answer Critic Review

- passed: false
- issues found: 1
- main issue: The draft answer suggests a definitive conclusion about the risk levels of the banks without sufficient evidence to support such claims.
- critic summary: The draft answer overclaims by suggesting a definitive conclusion about which bank is riskier without sufficient evidence. The improved answer provides a more cautious comparative conclusion and clarifies the limitations in the evidence.

10. Sources

Source File	Pages
commerzbank_annual_report_2024.pdf	13, 61
deutsche_bank_annual_report_2024.pdf	133, 136, 138, 140, 98
eba_annual_report_2024.pdf	6

11. Limitations

The analysis is limited by the lack of detailed liquidity risk information for Commerzbank and the absence of quantitative metrics to fully assess the risk profiles of both banks.

- Missing Commerzbank liquidity evidence limits comparison when applicable.
- Disclosure detail is not the same as actual risk.

- The final risk conclusion is not a definitive credit, investment, or supervisory rating.

12. Confidence

Medium

Generated by Agentic Finance RAG